Korea Petro (006650 KS)

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Three hurdles to clear by end-2026

BUY (M)

Target price	W180,000 (M)
Previous target price	W180,000
Current price (Sep 21)	W96,700
Upside potential	86%

Market cap (Wbn)	629
Shares outstanding	6,500,000
Avg daily T/O (2M, Wbn)	4
Avg daily volume (2M, shrs)	38,333
52-week high/low (won)	190,700 / 80,300
Foreign ownership (%)	10.15%
Dividend yield (%)	0.90%
Major shareholders	Sun-gyu Lee & others

Stock performance

(%)	1M	3M	12M
Absolute	20.4	(22.5)	(15.2)
Relative	18.8	0.2	(58.3)
Abs (US$)	20.9	(14.3)	(14.4)

2026 OP estimated at W71.0bn, with earnings to weaken in 2H26

The company's exposed to earnings volatility in 2H26. We estimate 2026 revenue at W3.2tn, OP W71.0bn (OPM 2.2%), and net profit attributable to controlling interest W47.4bn. OP should increase from W52.7bn in 2025, but earnings are likely to be volatile in 2H26. We expect OP to turn from W26.3bn in 3Q26 to a loss of W25.0bn in 4Q26. Production will be suspended for extensive scheduled maintenance from October through late November while NCC spreads remain weak. By segment, we forecast a full-year loss of W23.7bn for the parent company's chemical business and OP of W87.8bn for the power generation business.

Three hurdles ahead

The company faces three hurdles through 1H27. 1) A combined 8.08mn tonnes of new global capacity is scheduled to come online, including 1.2mn tonnes at PetroChina, 1.5mn tonnes at Huajin Petrochemical, 1.8mn tonnes at S-Oil, 2.08mn tonnes at Golden Triangle Polymer in the US, and 1.5mn tonnes at Borouge in the UAE. 2) Delayed restructuring in Ulsan is elevating chicken-game risks, with S-Oil's 1.8mn-tonne Shaheen plant coming online alongside continued operation of SK Geo Centric's existing 660k-tonne capacity. 3) Changing feedstock sourcing may lead to additional costs. S-Oil used to supply 70% of the company's naphtha requirements, but this will shift to imports starting late-2026, likely raising shipping costs by $5-10/tonne.

Patience required leading into 2027

Despite weak fundamentals in 2H26, we maintain our target price of W180,000 for 2027 on two valid catalysts. 1) Following the operation of large-scale global petrochemical plants, new additions will likely decline from mid-2027 to 2028, alongside scheduled shutdowns in Asia, which should ease oversupply burdens. 2) The company plans to expand specialty product capacity from end-2027. It plans to double capacity for ultra-high-purity EV battery separator PE (current 200k tonnes) with OPM of 20-30%, and capacitor PP (current 170k tonnes).

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	831	-8.7	-13.1	853	-2.6
OP	26	-38.7	TTB	39	-33.4
Pre-tax net profit	23	-50.5	TTB	31	-26.0
Net profit, CI	7	-77.2	TTB	15	-53.6
OPM (%)	3.2	-1.5 %pt	TTB	4.6	-1.4 %pt
NPM (%)	0.8	-2.5 %pt	TTB	1.7	-0.9 %pt

Note: CI = controlling interest, TTB = turn to black

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	2,800	3,348	3,230	3,730
OP	-60	53	71	139
Net profit, CI	-9	32	47	87
P/E (x)	-92.1	21.7	13.3	7.2
P/B (x)	0.4	0.4	0.3	0.3
EV/EBITDA (x)	7.0	4.5	3.5	2.6
ROE (%)	-0.5	1.7	2.6	4.5

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Korea Petro: earnings forecast revision

	Old (Wbn)			New (Wbn)			Change (%)		
	3Q26E	2026E	2027E	3Q26E	2026E	2027E	3Q26E	2026E	2027E
Revenue	892.7	3,337.5	3,667.3	831.0	3,229.9	3,730.3	△6.9%	△3.2%	1.7%
OP	33.2	77.7	132.9	26.3	71.0	139.3	△20.8%	△8.6%	4.8%
OPM	3.7%	2.3%	3.6%	3.2%	2.2%	3.7%	△0.6%	△0.1%	0.1%
Pretax profit	31.8	93.7	151.4	22.9	68.2	119.9	△28.0%	△27.2%	△20.8%
Net profit, CI	9.7	50.1	85.4	6.8	47.4	86.7	△30.2%	△5.4%	1.5%

Note: CI = controlling interest; source: Yuanta Securities

Korea Petro (006650 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**2,800**	**3,348**	**3,230**	**3,730**	**3,664**
Cost of sales	2,809	3,227	3,072	3,481	3,363
Gross profit	-9	121	157	249	301
SG&A	51	68	86	110	108
Operating profit	**-60**	**53**	**71**	**139**	**193**
EBITDA	120	222	213	270	314
Non-operating profit	27	19	14	18	20
Forex gains	6	0	-2	-2	0
Net interest income	-4	-5	-10	-13	-13
Equity-method gains	23	19	-1	5	3
Other	1	5	26	27	30
Net prof before income tax	-33	72	85	157	213
Income tax	-24	16	17	37	51
Net profit from continuing ops	-9	56	68	120	162
Net profit from discontinued ops	0	0	0	0	1
Net profit	-9	56	68	120	163
NP for controlling interest	**-9**	**32**	**47**	**87**	**130**
Total comprehensive income	-11	58	70	120	163
Total comprehensive income, CI	-11	33	49	87	130

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**628**	**764**	**831**	**1,090**	**1,258**
Cash & cash equivalents	109	151	127	148	162
Accounts receivables & other	237	291	206	296	283
Inventory	240	228	173	249	237
Non-current assets	1,592	1,937	1,840	1,808	1,773
Tangible assets	1,261	1,665	1,590	1,551	1,522
Investment in affiliates	254	73	76	76	76
Other investment assets	13	34	24	35	33
Total assets	**2,220**	**2,700**	**2,672**	**2,898**	**3,031**
Current liabilities	307	427	379	470	485
Accounts payable & other	189	221	176	254	243
ST financial liabilities	88	149	98	107	105
Liquid LT liabilities	22	28	83	79	108
Non-current liabilities	105	192	160	184	152
LT financial liabilities	85	127	113	118	89
Debentures	0	0	0	0	0
Total liabilities	**412**	**619**	**540**	**654**	**637**
Equity, controlling interest	1,808	1,835	1,876	1,954	2,072
Paid-in capital	41	41	41	41	41
Capital surplus	264	264	264	264	264
Retained earnings	1,505	1,532	1,571	1,649	1,767
Equity, non-controlling interest	0	247	256	289	322
Total equity	**1,808**	**2,081**	**2,132**	**2,243**	**2,394**
Net debt	**50**	**66**	**-130**	**-202**	**-398**
Total debt	198	307	300	309	308

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**133**	**203**	**296**	**146**	**285**
Net profit	-9	56	68	120	163
Depreciation & amortization	180	166	138	127	117
Forex gains	2	2	-1	2	0
Affiliate investment gains	-23	-19	1	-5	-3
Increase in net working cap	-3	-38	86	-92	14
Other	-14	36	5	-6	-6
Investing cash flow	**-91**	**-143**	**-263**	**-161**	**-268**
Investment	-32	-69	10	-11	2
Increase in tangible assets	-59	-77	-62	-88	-88
Decrease in tangible assets	0	1	0	0	0
Other	0	2	-212	-62	-181
Financing cash flow	**32**	**-16**	**-29**	**1**	**-14**
ST financial liabilities	-4	62	-52	9	-1
Debenture/LT financial liabilities	46	48	42	0	0
Equity	0	0	0	0	0
Cash dividend	-6	-6	-8	-9	-12
Other cash flow	-4	-120	-11	0	0
Consolidation adj and other	0	-1	-28	35	10
Increase in cash & equivalents	**75**	**42**	**-24**	**21**	**13**
Beginning cash & equivalents	34	109	151	127	148
Ending cash & equivalents	109	151	127	148	162
NOPLAT	-60	53	**71**	**139**	**193**
FCF	**74**	**126**	**234**	**58**	**197**

Valuation

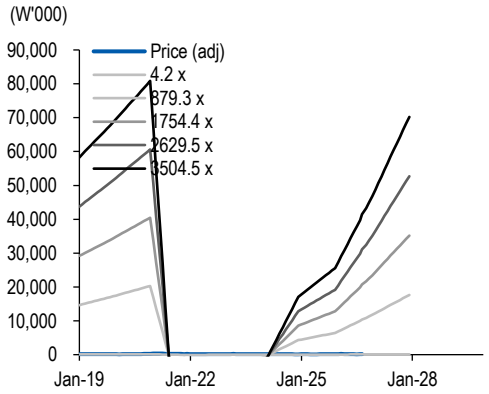
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	-1,312	4,878	7,289	13,342	20,052
BPS (won)	292,683	297,102	303,759	316,400	335,504
EBITDA/shr (won)	18,474	34,190	32,838	41,609	48,335
SPS (won)	430,785	515,050	496,912	573,893	563,694
DPS (won)	1,000	1,300	1,400	2,000	2,000
P/E (x)	**-92.1**	**21.7**	**13.3**	**7.2**	**4.8**
P/B (x)	**0.4**	**0.4**	**0.3**	**0.3**	**0.3**
EV/EBITDA (x)	**7.0**	**4.5**	**3.5**	**2.6**	**1.8**
P/S (x)	**0.3**	**0.2**	**0.2**	**0.2**	**0.2**

Key financial data

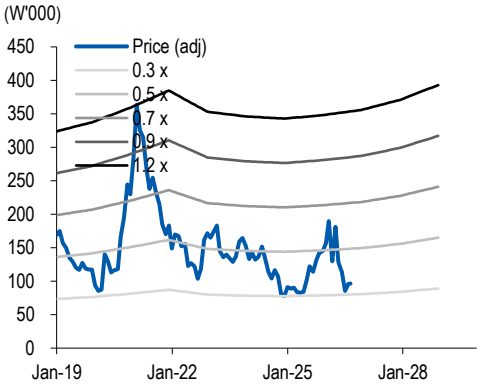
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**12.0**	**19.6**	**-3.5**	**15.5**	**-1.8**
Operating profit (%YoY)	**RR**	**TTB**	**34.8**	**96.3**	**38.4**
Net profit, CI (%YoY)	**RR**	**TTB**	**49.4**	**83.0**	**50.3**
Gross margin (%)	-0.3	3.6	4.9	6.7	8.2
Operating margin (%)	**-2.1**	**1.6**	**2.2**	**3.7**	**5.3**
Net margin, CI (%)	-0.3	0.9	1.5	2.3	3.6
EBITDA margin (%)	4.3	6.6	6.6	7.3	8.6
ROIC (%)	-1.0	2.3	2.4	6.4	7.5
ROA (%)	-0.4	1.3	1.8	3.1	4.4
ROE (%)	**-0.5**	**1.7**	**2.6**	**4.5**	**6.5**
Debt-to-equity (%)	22.8	29.7	25.3	29.2	26.6
Net debt-to-equity (%)	2.8	3.6	-6.9	-10.3	-19.2
OP/financing cost (x)	-8.3	5.1	7.3	10.9	15.1

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

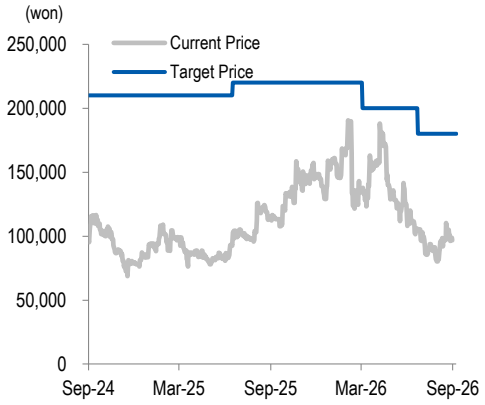
P/E band chart



P/B band chart



Korea Petro (006650 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/09/22	BUY	180,000	1 yr		
2026/07/14	BUY	180,000	1 yr		
2026/03/25	BUY	200,000	1 yr	-31.85	-6.00
2025/07/08	BUY	220,000	1 yr	-40.25	-13.32
2024/09/20	BUY	210,000	1 yr	-56.76	-44.52

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.8
HOLD	3.2
SELL	0
Total	100.0

Note: As of Sep 22, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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